

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester I Examination, 2022-23

Paper No. BCH-111: Financial Accounting-I

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.** Journalise the following transactions in the Journal of S Sons: [14]

2022, April 1: S Sons started his business with Capital of Rs. 5,00,000 and Furniture worth Rs. 25,000.

April 2: Bought goods of list price of Rs. 80,000 at 10% trade discount from B Sons.

April 3: Opened a current account in Bank with Rs. 1,00,000.

April 5: Purchased goods worth Rs. 1,00,000 from Khanna Brothers at a trade discount of 20% and cash discount of 5%.

April 10: Purchased machinery for Rs. 20,000 and spent Rs. 500 on its carriage and Rs. 300 on its installation.

April 12: Sold goods worth Rs. 40,000 to A Sons.

April 14: Paid Rs. 3,500 for Life Insurance Premium of the owner.

April 15: Returned goods to Khanna Brothers Rs. 10,000.

April 18: A Sons became insolvent and only 50 paise in a Rupee were recovered from him.

April 22: Withdrew from bank Rs. 4,000 for office use and Rs. 5,000 for personal use.

April 30: Salary of Rs. 10,000 is unpaid.

OR

Explain any two of the following: [14]

(a) Capital Expenditure

(b) Principle of Conservatism

(c) Principle of Full Disclosure

(d) Separate Entity Concept

Question 2. From the following Trial Balance and additional information, prepare the Trading and Profit and Loss Account and Balance Sheet for the year ended 31st March, 2022 of S Sons:

Particulars	Debit Balance (Rs.)	Credit Balance (Rs.)
Capital Account		16,00,000
Sundry Creditors		7,20,000
Sundry Debtors	14,50,000	
Sales		28,85,500
Purchases	12,69,000	
General Expenses	1,50,000	
Carriage Inward	60,000	
Carriage Outward	90,000	
Wages	1,00,000	
Discount	30,000	49,500
Bad Debts	20,000	
Land and Building	10,40,000	
Printing and Stationery	25,000	
Furniture	1,90,000	
Advertisement	50,000	
Insurance	40,000	
Postage and Telephone	40,500	
Salaries	2,60,000	
Rates and Taxes	20,000	
Drawings	20,000	
Stock on 1-4-2021	2,50,000	
Cash at Bank	1,30,000	
Cash in Hand	20,500	
Total	52,55,000	52,55,000

Adjustments:

- Stock on 31st March, 2022 was valued at Rs. 8,50,000.
- A provision of 8% for Bad and Doubtful Debts is to be created.
- Depreciate Furniture by 15% and Building by 12%.
- The owner of the firm had withdrawn goods worth Rs. 15,000 during the year for personal use.
- Purchases include purchase of Furniture worth Rs. 45,000.

[14]

OR

Explain the following:

[14]

- Depreciation
- Rectification of Errors

Question 3. A and B are partners in a firm sharing profit and loss in the ratio of 60% and 40%. On 1st April, 2022, the position of the business was as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Creditors	15,000	Cash at Bank	7,000
Loan	20,000	Debtors	18,000
A's Capital	30,000	Stock	20,000
B's Capital	25,000	Land & Building	30,000
		Plant	15,000
Total	90,000	Total	90,000

On 1st April, 2022, C is admitted as a partner for one-fourth share under the following terms:

- C is to pay Rs. 20,000 as capital and Rs. 10,000 as goodwill for his share in the firm.
- A revaluation of the assets of the firm will be made by reducing Plant by 20% and Stock by 10%.
- Provision for bad and doubtful debts is to be raised to 10% on debtors.
- The profit sharing ratio of A and B is to remain unaltered.

You are required to pass necessary journal entries and prepare the Balance Sheet of the new firm after the admission of C. [14]

OR

Write notes on any two of the following: [14]

- Accounting for Goodwill when a new partner is admitted
- Fixed and Fluctuating Capital Accounts
- Admission of a new partner and profit sharing ratio

Question 4. P, Q and R are partners sharing profit in the ratio of 4:4:2 respectively. On 31st March, 2022 their Balance Sheet stood as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Creditors	3,12,000	Plant & Machinery	8,60,000
Bank Overdraft	48,000	Land & Building	3,28,000
P's Capital	8,00,000	Debtors	4,70,000
Q's Capital	8,00,000	Stock	7,02,000
R's Capital	4,00,000		
Total	23,60,000	Total	23,60,000

On the date of the Balance Sheet, R retired and it was agreed that:

- (a) The value of the goodwill of the firm is to be fixed at Rs. 5,00,000.
- (b) P and Q will share profit in future in the ratio of 3:2.
- (c) The amount due to R will be paid immediately and for this purpose P and Q will bring in sufficient cash.

You are required to pass necessary journal entries and prepare the Balance Sheet of the new firm. [14]

OR

Explain as to how amount payable to a deceased partner is determined. [14]

Question 5. Explain the Garner vs. Murray rule assuming that A, B and C are equal partners, C has become insolvent, and their Balance Sheet is as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
A's Capital	40,00,000	Cash	30,00,000
B's Capital	12,00,000	C's Capital	4,00,000
		Loss on Realisation	18,00,000
Total	52,00,000	Total	52,00,000

Close the books of the firm applying the Garner vs. Murray rule.

[14]

OR

Write notes on any one of the following:

[14]

- (a) Dissolution of firm
- (b) Piecemeal Distribution on Dissolution